

TimberMart-South

Quarterly Market Bulletin ~ 2nd Quarter 2025

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Executive Director: Jonathan Smith
Senior Research Editor: Jacek Siry, Ph.D.
Research Editor: Harrison Hood, Ph.D.
News Editor: Ashley Brooks
Consulting Editor: Sara Baldwin
Administrative Coordinator: Cathy Law

For general inquiries and subscription rates:

- Phone: (706) 247-7660
- Fax: (706) 389-9196
- Email: tmart@timbermart-south.com
- Web address: www.TimberMart-South.com
- Mailing address: TimberMart-South
1860 Barnett Shoals Rd, PMB 103-598
Athens, GA 30605

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Prices & Market Conditions

Timber markets were generally weaker in the 2nd Quarter. Supply remained only slightly above demand, pushing prices downward on many products.

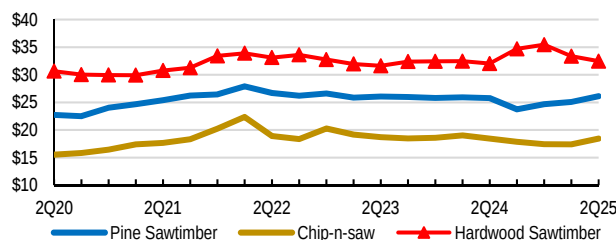
Wood products markets weakened this quarter as well, with Southern pine lumber and Southern OSB prices decreasing 14% and 33%, respectively, in the 2nd Quarter. Pulp markets were mixed, with prices increasing 3% for softwood pulp but decreasing marginally for hardwood this quarter.

South-wide Stumpage Markets

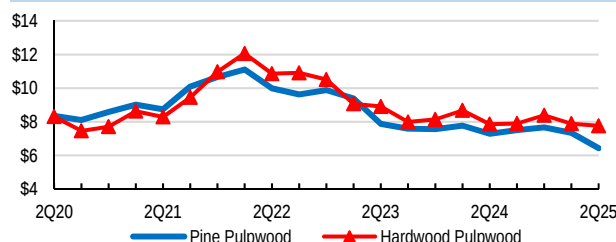
South-wide average stumpage prices increased for both pine sawtimber and pine chip-n-saw but decreased for the other three major timber products in the 2nd Quarter. Pine sawtimber price has increased three consecutive quarters and is up 10% (+\$2.37 per ton) since 3rd Quarter 2024. Also, while hardwood sawtimber price has declined each of the last two quarters, it still remains above both its five and 10-year average.

Δ 1Q25	Δ 2Q24	South-wide Stumpage, 2 nd Quarter 2025	
▲	▲	Pine Sawtimber:	\$26.12/ton
		Up \$1.05 Q/Q and up \$0.36 Y/Y	
▲	▲	Pine Chip-n-saw:	\$18.45/ton
		Up \$1.04 Q/Q and up \$0.01 Y/Y	
▼	▼	Pine Pulpwood:	\$6.43/ton
		Down \$0.92 Q/Q and down \$0.86 Y/Y	
▼	▲	Hardwood Sawtimber:	\$32.47/ton
		Down \$0.89 Q/Q but up \$0.44 Y/Y	
▼	▼	Hardwood Pulpwood:	\$7.76/ton
		Down \$0.13 Q/Q and down \$0.10 Y/Y	

South-wide Sawtimber Stumpage Prices (\$/Ton)



South-wide Pulpwood Stumpage Prices (\$/Ton)





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South-wide Delivered Prices

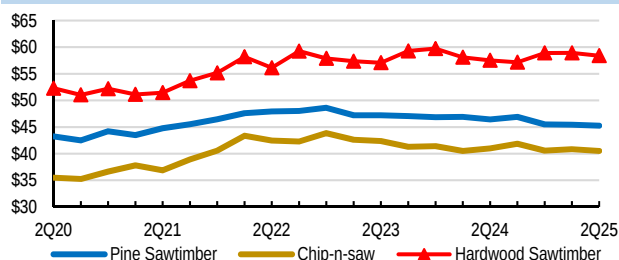
South-wide delivered prices decreased for all five major products in the 2nd Quarter.

South-wide delivered pine sawtimber price continued its downward trend, falling for the 3rd straight quarter and down \$3.37 per ton (-7%) since the 4th Quarter of 2022. South-wide delivered pine chip-n-saw price has trended similarly and is down \$3.33 per ton (-8%) over this same period. However, demand for high-quality hardwood sawlogs continues to hold strong, with South-wide delivered hardwood sawtimber price remaining above its \$58.14 per ton average since the beginning of 2022.

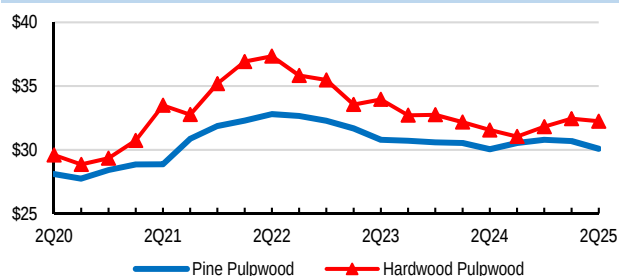
South-wide delivered prices decreased for both pine and hardwood pulpwood in the 2nd Quarter. However, delivered pine pulpwood price has remained between \$30 and \$31 per ton since the 2nd Quarter of 2023. Hardwood pulpwood price has been more volatile and has trended downwards since hitting its record high of \$37.34 per ton in the 2nd Quarter of 2022.

Δ 1Q25	Δ 2Q24	South-wide Delivered, 2 nd Quarter 2025	
▼	▼	Pine Sawtimber: Down \$0.19 Q/Q and down \$1.17 Y/Y	\$45.25/ton
▼	▼	Pine Chip-n-saw: Down \$0.31 Q/Q and down \$0.48 Y/Y	\$40.52/ton
▼	▲	Pine Pulpwood: Down \$0.60 Q/Q but up \$0.04 Y/Y	\$30.08/ton
▼	▲	Hardwood Sawtimber: Down \$0.53 Q/Q but up \$0.87 Y/Y	\$58.40/ton
▼	▲	Hardwood Pulpwood: Down \$0.20 Q/Q but up \$0.69 Y/Y	\$32.24/ton

South-wide Delivered Sawtimber Prices (\$/Ton)



South-wide Delivered Pulpwood Prices (\$/Ton)



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News of Note

There were multiple stories of note this quarter, some of which have been highlighted below. Full details and additional information regarding these stories and others are available in the 2nd Quarter 2025 *Market News Quarterly*.

Softwood Sawmills:

- ❖ Canfor announced plans to permanently close its Darlington SC and Estill SC sawmills in August.
- ❖ Hampton Lumber Company plans to invest \$225 million to build a new sawmill in Allendale SC. Expected capacity was not disclosed.
- ❖ PotlatchDeltic finished ramping up its Waldo AR sawmill to 275 mmbf in April, three months earlier than anticipated.
- ❖ Teal Jones plans to sell five of its US South sawmills as part of its ongoing bankruptcy sale proceedings:
 - Plain Dealing LA sawmill to Sumitomo Forestry America.
 - Liberty MS and Antlers OK sawmills to Twain Capital.
 - Martinsville VA and Kinsale VA sawmills to Mercury Merchant.
- ❖ West Fraser entered the final stages of its \$255 million brownfield modernization project at its Henderson TX sawmill.

Pulp & Paper:

- ❖ Georgia-Pacific (GP) made several announcements this quarter:
 - Plans to permanently close its Cedar Springs GA containerboard mill.
 - GP completed the pulping system upgrade project at its Brewton AL containerboard mill, marking the end of an 18-year modernization overhaul that began in 2007.
- ❖ Green Bay Packaging announced plans to invest \$1 billion into a modernization project at its Morrilton AR kraft paper mill.

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Van Poindexter

Van.Poindexter@pgim.com
662-207-6630

Jason Denton

Jason.Denton@pgim.com
706-286-5667

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News of Note (cont.)

Pulp & Paper (cont.):

- ❖ International Paper permanently closed its Red River pulp mill in Campti LA.
- ❖ Novolex completed its acquisition of Pactiv Evergreen for \$6.7 billion. The companies are now combined and will operate under the Novolex name, with Pactiv's stock delisted previously. Novolex is headquartered in Charlotte NC.

OSB, Engineered Wood, & Panels:

- ❖ Georgia-Pacific permanently closed its Emporia VA plywood mill, citing market challenges related to housing affordability.
- ❖ Hood Industries is on track to open its newly rebuilt laminated plywood mill in Beaumont MS in August.
- ❖ Homanit, a German-based wood panel producer, plans to invest \$250 million to construct a new panel mill in Alcolu SC.
- ❖ Weyerhaeuser began construction on its \$500 million TimberStrand facility in Monticello AR in the 2nd Quarter, with completion expected in 2027.

Biofuel & Bioenergy:

- ❖ SDI Biocarbon Solutions, a joint venture between Steel Dynamics and Aymium, nears completion of construction on its biocarbon production facility in Columbus MS, with the commissioning process to begin by year-end.



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Hugh Lentile Director 901-309-3310 hlentile@metlife.com	Andrew Carey Timberland 901-309-3337 andrew.carey@metlife.com	Brandon Hatchett Forest Products 901-309-3339 walter.b.hatchett@metlife.com
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Market Indicators

Market conditions weakened for most wood products manufacturers and pulp producers in the 2nd Quarter of 2025.

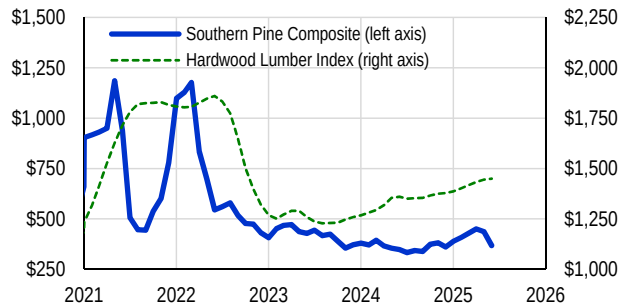
Lumber Indicators: Softwood lumber prices were down in the 2nd Quarter. The June Random Lengths Southern Pine Composite¹ at \$368 per thousand board feet (mbf) was down \$60 (-14%) Q/Q but up \$20 (+6%) Y/Y.

The June Hardwood Review US Kiln Dried Hardwood Lumber Index at \$1,450 per mbf was up \$33 (+2%) Q/Q and \$90 (+7%) Y/Y.

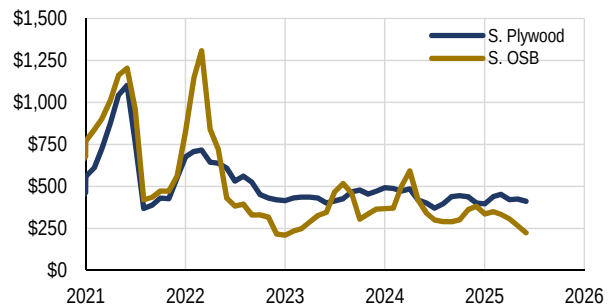
Panel Indicators: Prices were down for both Southern Plywood and Southern OSB this quarter. The June Random Lengths Southern Pine Plywood price for 3/8-inch exterior sheathing at \$412 per thousand square feet (msf) was down \$41 (-9%) Q/Q but up \$11 (+3%) Y/Y.

The June Random Lengths Southern OSB price at \$224 per msf was down \$109 (-33%) Q/Q and \$117 (-34%) Y/Y.

Random Lengths Southern Pine Composite & Hardwood Review US Kiln Dried Hardwood Lumber Index Monthly Average Price (\$/mbf)



Random Lengths Southern Pine Plywood & Southern OSB Monthly Average Price (\$/msf)



¹ The Southern Pine Composite averages 35 southern framing lumber prices.



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Market Indicators (cont.)

Pulp & Paper Indicators: The American Forest and Paper Association (AF&PA) reported US paper and paperboard production at a combined 16.9 million tons YTD-March, the latest available, which was down 0.2 million tons (-1%) compared to the same period in 2024.

The June Northern Bleached Softwood Kraft (NBSK) pulp index price at \$1,573 per ton was up \$41 (+3%) Q/Q but down \$10 (-1%) Y/Y.

The June Bleached Hardwood Kraft Pulp (BHKP) price at \$1,138 per ton was down \$4 (<1%) Q/Q and \$287 (-20%) Y/Y.

US Building Construction: US residential building construction, a principal driver of the wood products industry, was down slightly, with housing starts YTD-May, the latest available, down 1% compared to the same period in 2024. Improvement expenditures YTD-May, the latest available, were also down 1% compared to the same period a year ago.

According to the US Census, US housing starts totaled 559,500 units YTD-May, the latest available, which was down 1% from 568,000 units for the same period in 2024.

The US Census reported remodeling and improvement expenditures at \$139.1 billion YTD-May, the latest available, which was down \$1.9 billion from the same period in 2024.

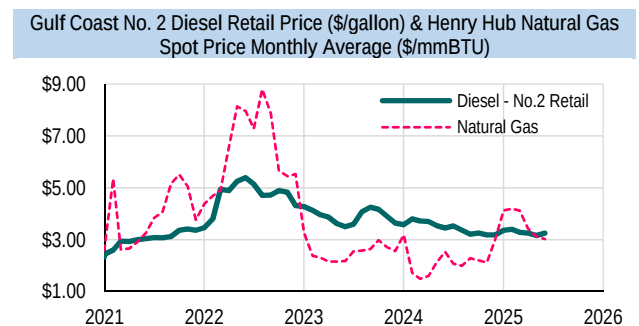
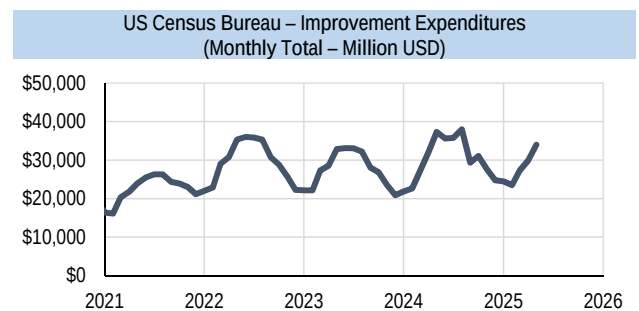
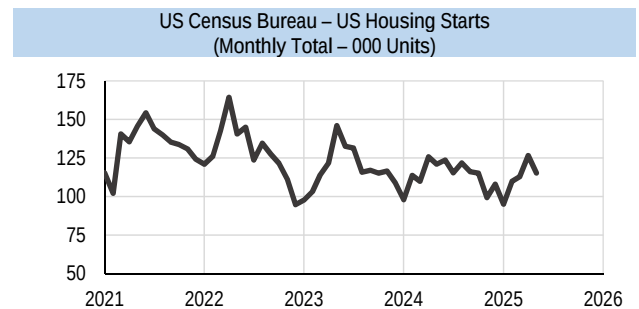
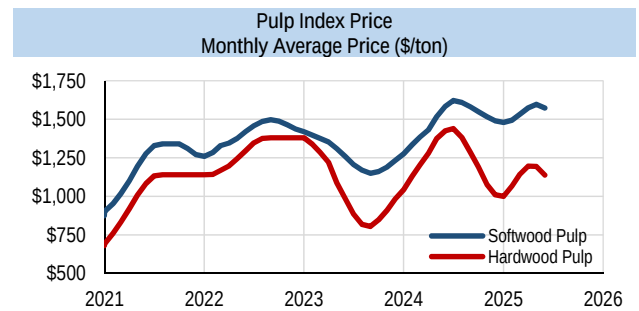
Fuel & Energy Indicators: Prices were down for diesel and natural gas but up marginally for crude oil in the 2nd Quarter. The June 2024 monthly average Gulf Coast #2 Diesel price at \$3.25 per gallon was down \$0.03 (-1%) Q/Q and \$0.20 (-6%) Y/Y.

The June West Texas Intermediate (WTI) crude spot price at \$69 per barrel was up \$1 (+1%) Q/Q but down \$11 (-13%) Y/Y.

The June Henry Hub Natural Gas spot price at \$3.02 per million BTU was down \$1.10 (-27%) Q/Q but up \$0.49 (+19%) Y/Y.

Log & Lumber Exports: The USDA Foreign Agricultural Service (FAS) reported total exports for the four major forest products at 2.5 million cubic meters (m³) YTD-May, the latest available, which was down 9% from the same period in 2024. Exports to China, the dominant US trade partner, were down 43% from the same period a year ago.

Compared to 2024 levels for this period, southern yellow pine (SYP) log exports were up 35% but SYP lumber exports were down 15%. Hardwood log and hardwood lumber exports were down 11% and 13%, respectively, from the same period in 2024.



US Log & Lumber Exports (YTD-May 2025) Volume in Thousand Cubic Meters			
Product	World YTD-2025	World YTD-2024	China YTD-2025
SYP Softwood logs	242	178	1
SYP Softwood lumber	334	393	7
US Hardwood logs	804	899	181
US Hardwood lumber	1,095	1,255	330
Total	2,475	2,726	520

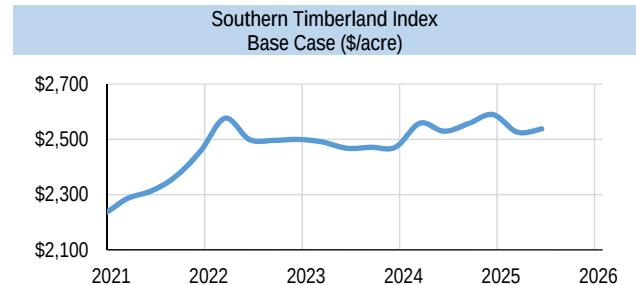
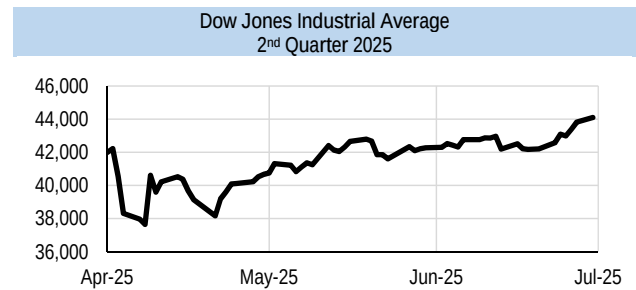
Market Indicators (cont.)

Financial Indicators: Financial markets were up overall in the 2nd Quarter of 2025, with the S&P 500 and NASDAQ indices both ending the quarter on new highs. Specifically, the Dow Jones Industrial Average (DJIA) closed out June at 44,095, up 5% Q/Q and up 13% from the same period a year ago. The quarterly high was 44,095 on June 30th and the quarterly low was 37,646 on April 8th.

The S&P 500 ended June at 6,205 (+11% Q/Q; +14% Y/Y).

The NASDAQ ended June at 20,370 (+15% Q/Q; +18% Y/Y).

Southern Timberland Index: The Southern Timberland Index (STI) was developed to provide an indication of how the value of an average acre in the South has changed over time. In the 2nd Quarter of 2025, the base case STI averaged \$2,538 per acre, which was up 0.5% Q/Q and 0.3% Y/Y.



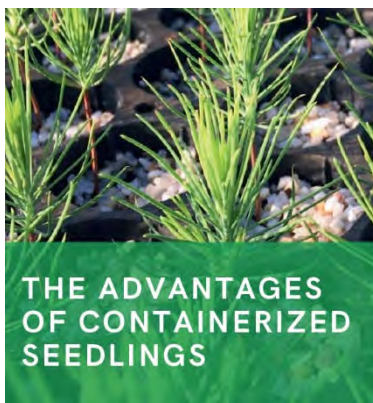
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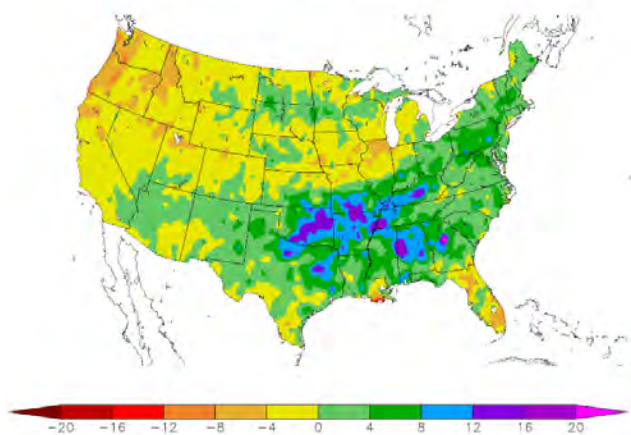
Weather, Etc.

General Weather: Precipitation averaged above normal for the South in the 2nd Quarter. Pockets of heavy rainfall from summer storms emerged in Arkansas, western Alabama, middle Georgia, and eastern Texas. Temperatures in the South ranged slightly to moderately-above normal for this season. Several tornadoes swept across Alabama, Arkansas, Mississippi, and Tennessee this quarter, and in May, eastern Tennessee experienced a 4.1 magnitude earthquake.

Drought: Summer storm surges brought heavy rainfall and alleviated dry conditions across most of the South, leaving only parts of middle Florida and eastern Texas abnormally dry.

Fire: Wildfire burned 1,789,582 acres nationwide in 2nd Quarter 2025, with roughly 376,469 acres (21%) burned in the South. The number of fires was above 10-year averages both in the South and nationwide, but acres burned was lower both in the South and nationwide.

Departure from Normal Precipitation (in)
4/1/2025 – 7/1/2025



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